

CAPITAL READINESS ASSESSMENT

Loco Financial Technologies

An independent evaluation of investment readiness across commercial, financial, operational and legal domains — with a structured 18-month improvement roadmap.



01 Executive Summary

An investment-committee assessment of Loco Financial Technologies's readiness to absorb and deploy external capital.



INVESTMENT-READINESS VERDICT

Loco Financial Technologies is best matched to grant and milestone-based catalytic funding with technical assistance; it is not yet ready for commercial debt or equity.

Loco Financial Technologies recorded an overall Capital Readiness Score of 46% (Progressing). This report expands the summary assessment into a due-diligence-grade review across company, business model, market, financial, operational, legal and regulatory dimensions. For every finding it states the evidence reviewed, the missing evidence, the risk level and the recommended corrective action.

Funding-instrument suitability

01 Executive Summary (continued)

INSTRUMENT	SUITABILITY	RATIONALE
Grant funding	Recommended	Suits early-stage capacity building and de-risking; least sensitive to the current gaps.
Milestone-based catalytic	Recommended	Tranches released against verified readiness milestones; aligns directly with the improvement roadmap.
Debt	Not yet	Requires reliable cash-flow, financial controls and clean legal standing before drawdown.
Equity	Not yet	Requires investor-grade financials, governance and a clean legal / IP position for due diligence.

INFORMATION REQUIRED FROM COMPANY

Findings are marked “information required from company” wherever primary evidence was not provided. Supplying the missing evidence listed against each finding converts these into verified findings.

02 Company Profile

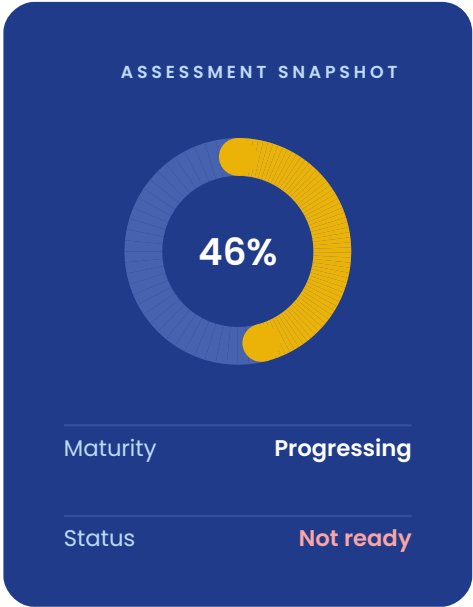
Who Loco Financial Technologies is, and the context of this capital readiness assessment.

COMPANY OVERVIEW

Loco Financial Technologies is a growing company operating in Tanzania. This report evaluates its readiness to raise external capital across four domains — commercial, financial, operational, and legal & compliance — using the Capital Readiness Assessment (CRAT) framework, and sets out the roadmap required to reach investment readiness.

AT A GLANCE

SECTOR	HEADQUARTERS
—	—
ASSESSMENT	ASSESSMENT DATE
Capital Readiness (CRAT)	11 July 2026
FOCUS	READINESS THRESHOLD
Investment Readiness	70%



03 Assessment Methodology & Weighting

How the Capital Readiness Assessment (CRAT) is conducted and weighted.

Methodology

The assessment combines a structured entrepreneur self-assessment with independent reviewer scoring. Each question is scored on a 0–5 scale; where multiple reviewers score a question, the reviewer scores are averaged. Question scores are aggregated to domain scores and normalised to percentages, and the overall readiness score is the simple average of the four domain scores. A 70% overall score is treated as the investment-readiness threshold. Findings are triangulated against supporting evidence; where evidence was not provided, the finding is flagged as requiring company information rather than assumed.

Domain weights

The headline readiness score is the simple average of the four domain scores. The weights below indicate each domain's relative importance to an investor's capital-allocation decision and are used to prioritise interventions; they sum to 100%.

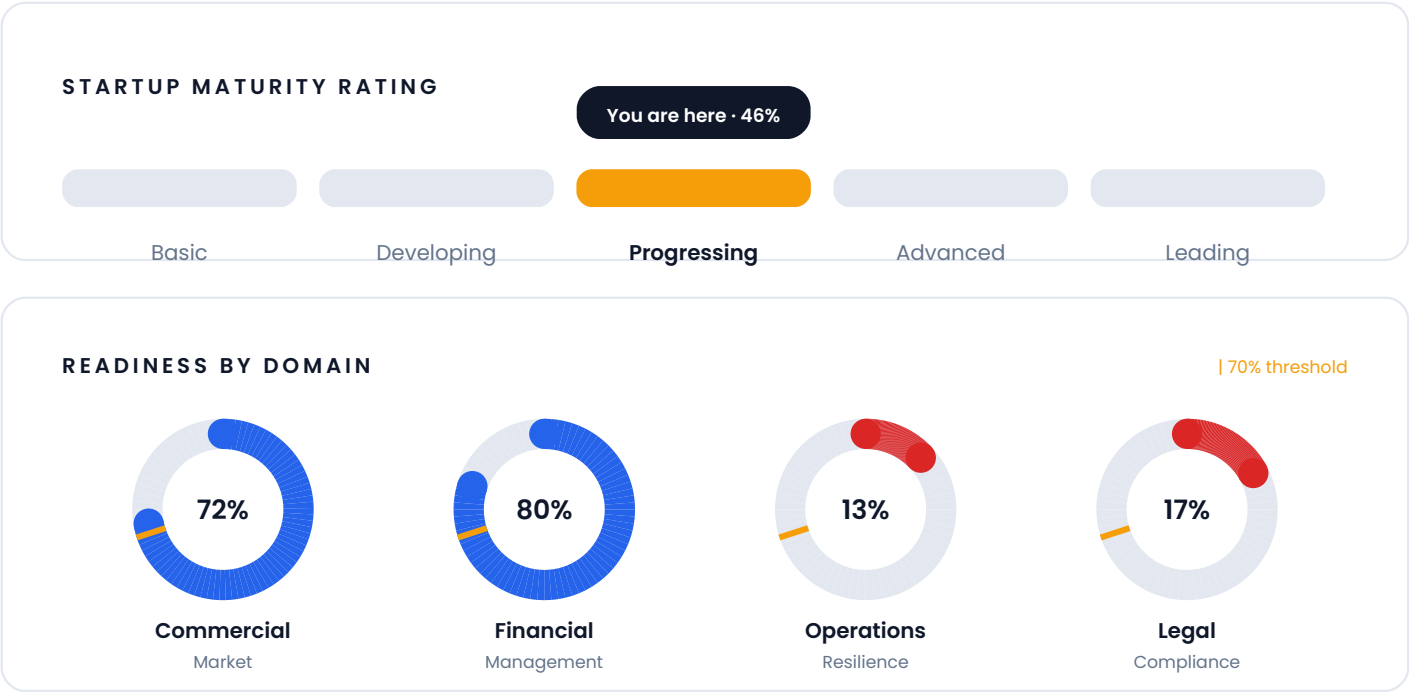
DOMAIN	WEIGHT	BASIS
Commercial / Market	25%	Revenue predictability and market traction underpin the investment case.

03 Assessment Methodology & Weighting (continued)

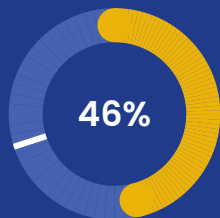
DOMAIN	WEIGHT	BASIS
Financial Management	35%	Highest weight: financial transparency, controls and reporting are the primary determinant of capital readiness.
Operations	15%	Delivery resilience and scalability; material, but lower leverage on the funding decision.
Legal & Compliance	25%	Compliance, licensing and governance are gating items for investor due diligence.

04 Overall Findings

Maturity level and readiness by domain, measured against the 70% threshold.



04 Overall Findings (continued)



OVERALL READINESS

46% · Progressing — Not yet investment ready

Measured against a 70% investment-readiness threshold.

READINESS LEVEL

Loco Financial Technologies achieved an overall Capital Readiness Score of 46%, placing it at the "Progressing" maturity level. Commercial and Financial are investment-grade. Operations and Legal carry the highest-risk capability gaps. Overall the business is not yet investment-ready; the sections that follow detail the thematic gaps, domain findings and recommended interventions.

05 Key Thematic Gaps

The defining capability gap in each domain, with a tailored read on what it means for investment readiness.

Commercial / Market

72%

ON TRACK

Revenue is being generated, but the commercial engine still runs on informal, undocumented routines. There is no defined sales pipeline, market positioning is held tacitly rather than written down, and acquisition and retention are not measured. For investors this translates directly into uncertainty about how repeatable and predictable future revenue really is.

05 Key Thematic Gaps (continued)

Financial Management

80%

ON TRACK

Core financial management is operating, but reporting and forecasting fall short of the standard investors expect during due diligence. Cash-flow is not modelled forward, records are not yet investor-grade, and management reporting lacks a regular cadence — all of which limit confidence in the numbers.

Operations

13%

HIGH RISK

Operational delivery works at the current scale, but it depends on undocumented, person-dependent routines. Processes live in people's heads, key functions rest on individuals, and performance is not tracked against targets — which caps resilience and makes scaling risky.

05 Key Thematic Gaps (continued)

Legal & Compliance

17%

HIGH RISK

Foundational legal structures are in place, but governance, contracts and compliance records are incomplete. Licences and agreements are not consolidated, compliance gaps remain open, and intellectual property and oversight are not fully established — the issues most likely to stall or derail investor due diligence.

06 Detailed Findings

Domain-by-domain observations recorded during the assessment.

Commercial / Market

72%

Commercial capability was assessed across the sales process, market positioning, and customer acquisition and retention.

- › The sales process and revenue pipeline operate without documented stages, ownership or conversion tracking, which makes forecasting unreliable.
- › Market positioning and competitor intelligence are understood by the founder but are not documented or shared across the team.
- › Customer acquisition and retention run without measurable targets, so channel performance and churn cannot be actively managed.

06 Detailed Findings (continued)

Financial Management

80%

Financial capability was assessed across record quality, management reporting, cash-flow forecasting and controls.

- › Cash-flow is not formalised into a rolling forward-looking model, leaving liquidity risk unmanaged as the business scales.
- › Financial records are maintained but are not yet investor-grade and have not been independently reviewed.
- › Accounting systems and management reporting lack the controls and monthly cadence investors expect.

06 Detailed Findings (continued)

Operations

13%

Operational capability was assessed across process documentation, key-person dependency and performance management.

- › Core operating processes and standard procedures are not documented, so quality depends on specific individuals.
- › There is significant key-person dependency across critical functions, creating business-continuity risk.
- › Performance is not consistently tracked against defined KPIs, which limits operational visibility.

06 Detailed Findings (continued)

Legal & Compliance

17%

Legal capability was assessed across registration, contracts, regulatory compliance, intellectual property and governance.

- › Licences, permits, contracts and governance records require review and consolidation into a single verifiable set.
- › Compliance gaps remain open that could delay or complicate investor due diligence.
- › Intellectual property is unregistered and formal oversight and decision-rights structures are not established.

07 Evidence Reviewed & Evidence Gaps

What was available to the assessment in each domain, and what must still be provided to verify the findings.

Commercial / Market — assessed at 72% (on track).

LOW RISK

EVIDENCE REVIEWED CRAT self-assessment responses on sales, market and customers; reviewer scoring.

MISSING EVIDENCE Sales-pipeline export, pricing sheet, top-customer contracts, marketing plan, churn / retention data.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the commercial score cannot be confirmed for due diligence.

Financial Management — assessed at 80% (on track).

LOW RISK

EVIDENCE REVIEWED CRAT self-assessment responses on financial management; reviewer scoring.

MISSING EVIDENCE 12-month management accounts, cash-flow model, bank statements, revenue ledger, accounting-system access.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the financial score cannot be confirmed for due diligence.

07 Evidence Reviewed & Evidence Gaps (continued)

Operations — assessed at 13% (gap identified).

HIGH RISK

EVIDENCE REVIEWED CRAT self-assessment responses on operations; reviewer scoring.

MISSING EVIDENCE Process / SOP documentation, organisation chart, KPI dashboard, key-person and succession plan.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the operations score cannot be confirmed for due diligence.

Legal & Compliance — assessed at 17% (gap identified).

HIGH RISK

EVIDENCE REVIEWED CRAT self-assessment responses on legal & compliance; reviewer scoring.

MISSING EVIDENCE Certificate of incorporation, licences / permits, key contracts, IP registrations, board and governance records.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the legal score cannot be confirmed for due diligence.

08 Recommendations

Targeted capacity interventions to close the gap in each domain.

Commercial / Market

72%

- Document the end-to-end sales process with defined stages, owners and conversion metrics, and review it monthly.
- Maintain a living market-positioning and competitor-intelligence brief that informs pricing and messaging.
- Adopt CRM-based pipeline tracking with explicit customer acquisition and retention KPIs.

08 Recommendations (continued)

Financial Management

80%

- Implement accounting software and produce disciplined monthly management accounts.
- Build and maintain a rolling 12-month cash-flow forecast tied to the operating plan.
- Prepare investor-grade financial statements and arrange an independent review or audit.

08 Recommendations (continued)

Operations

13%

- Document core processes and standard operating procedures for all critical functions.
- Reduce key-person dependency through delegation, cross-training and succession planning.
- Define operational KPIs and link them to a regular performance-management routine.

08 Recommendations (continued)

Legal & Compliance

17%

- Review and consolidate licences, permits and key contracts into a diligence-ready pack.
- Close outstanding compliance gaps and formalise governance and oversight structures.
- Register intellectual property and document board composition and decision rights.

09 Improvement Roadmap (6 / 12 / 18 months)

Sequenced interventions with owners, deadlines, expected outputs and readiness-score targets.

Phase 1 — 0 to 6 months (stabilise)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Adopt accounting software & monthly management accounts	Finance Lead	Month 3	Monthly management accounts	Financial 80 88
Consolidate licences, permits & key contracts	Legal / Compliance	Month 4	Legal register	Legal 17 40
Document core processes & SOPs	Ops Lead	Month 5	SOP handbook	Operations 13 35
Stand up AML/KYC & data-protection policies	Legal / Compliance	Month 6	Approved policies + PDPA filing	Legal 40 50
Populate the investor data room	CEO	Month 6	Virtual data room	Overall 46 58

Phase 2 — 6 to 12 months (build controls)

09 Improvement Roadmap (6 / 12 / 18 months) (continued)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Rolling 12-month cash-flow forecast	Finance Lead	Month 9	Board-reviewed model	Financial 88 92
Deploy CRM & pipeline tracking with KPIs	Commercial Lead	Month 9	CRM + weekly pipeline reporting	Commercial 72 82
KPI / performance-management routine	Ops Lead	Month 10	Operational KPI dashboard	Operations 35 55
Progress BOT / e-money licensing pathway	Legal / Compliance	Month 12	Application submitted / held	Legal 50 65
Reduce key-person dependency	CEO / Ops Lead	Month 12	Delegation & succession plan	Overall 58 70

Phase 3 — 12 to 18 months (investor-ready)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Prepare audited financial statements	Finance Lead + Auditor	Month 15	Audited accounts	Financial 92 95
Formalise governance & board oversight	CEO / Board	Month 15	Board charter & minutes	Legal 65 78

09 Improvement Roadmap (6 / 12 / 18 months) (continued)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Register IP (trademark, code assignment)	Legal / Compliance	Month 16	IP certificates	Legal 78 85
Strengthen cybersecurity & DR controls	CTO	Month 17	Security policy, backups, IR plan	Operations 55 68
Re-run CRAT & prepare for diligence	CEO	Month 18	Updated report ≥ 80%	Overall 70 82

10 Prioritisation

Quick wins are high-impact actions requiring fewer resources — sequence them first. Bold plays require more effort but deliver greater readiness gains.

● QUICK WINS

High impact · fewer resources · sequence first

1 Formalise financial records

2 Confirm licences & permits

3 Document core processes

10 Prioritisation (continued)

● BOLD PLAYS

Greater effort · greater readiness gains

- 4 Implement CRM pipeline tracking
- 5 Build a rolling cash-flow forecast
- 6 Prepare audited financials
- 7 Establish a governance structure
- 8 Register intellectual-property assets

10 Prioritisation (continued)

SEQUENCING

Sequencing follows impact and investor relevance: stabilise the highest-risk domains first with the quick wins, then build the durable controls — CRM, audited financials, governance and IP — that carry the business past the 70% readiness threshold.